

What Do Traders Lie To Themselves About?

Michael: I don't know anyone who could get through the day without two or three juicy rationalizations. They're more important than sex.

Sam: Ah, come on. Nothing's more important than sex.

Michael: Oh yeah? Ever gone a week without a rationalization?

—*The Big Chill* (1983)

ONE OF MY annual habits is a mea culpa. That's where I look back at the prior year to evaluate what I got wrong and why. It is a humbling experience designed to make me a better investor, and I have been doing it—in public—for several years. I am told this is a rarity in the world of finance.

But every year, I hear from a small segment of active traders who misread what the discussion is about, seeing it as an invitation to brag about their best trades. Astonishingly, these e-mailers have all significantly outperformed the markets over the years, putting up fantastic return numbers. They never seem to have a losing trade. They sold Tesla at exactly \$409.97 and bought gold precisely at the bottom. Even more amazingly, they got out at the market top in October 2007 and bought in at the exact lows in March 2009.

The technical term for these people is “bullshit artists.”

Mathematical probabilities make these claims of uniformly spectacular track records extremely unlikely. And what I find most intriguing is that these Pinocchio traders are not really lying to you or me, but, rather, to themselves.

Little white lies are told by humans all the time. Indeed, lying is often how